Entrepreneurship MGT602

Theme 01: History and Introduction of Entrepreneurship

Videos 1-12

Introduction of Entrepreneurship

- Entrepreneurship is a buzz word these days. Everyone is talking about entrepreneurship or wants to be an entrepreneur.

- Entrepreneurship is all about doing your own business and entrepreneur is a person who sets up a business

- Seek or create a job!

- Why all entities like government, educational and financial institution are supporting entrepreneurship?
- What if all graduates students are job seekers?
- What if no one is creating a firm?
- Then, who will create jobs?

- Entrepreneurship is a great source of creating jobs, creates a balance between job seekers and job-creators, and stimulates healthy economic growth

- Interesting questions while discussing entrepreneurship:

  - What is an entrepreneurship?
  - Is it a new discipline?
  - Is it a process?
  - Is it an attitude?
  - Who is an entrepreneur?
  - Are entrepreneurs so smart, supper intelligent, super genius, innovative, risk lover?

- Who should watch this course MGT602?

- Can you learn entrepreneurship ?

❑ Resource Persons:

- **Miss Noreen Zahra Ali,** Assistant Professor of Management Sciences at Virtual University of Pakistan.
- **Dr. Rizwan Saleem Sandhu**, Assistant Professor of Management Sciences at Virtual University of Pakistan.

❑ Recommended Books:

1. Entrepreneurship: Successfully Launching New Ventures by Bruce Barringer and R. Duane Ireland
2. Entrepreneurship by Robert Hisrich, Michael Petters and Dean Shepherd
3. Essentials of entrepreneurship and small business management by Thomas Zimmerer and Norman Scarborough
4. Small Business Management by Justin G. Longenecker, Carlos W. Moore, J. William Petty and Leslie E. Palich

❑ Expected outcome of this course: After attending this course you will be in a better position to assess the business opportunities and do better business and tactfully handle the growth issue.

Important Concepts

- Entrepreneurship is a process of finding solutions to problems.
- Entrepreneur is the person who is a solution provider.
- Enterprising nature of mankind Willingness to undertake new ventures or initiative and discover non-routine actions in a dynamic way
- Hunter Gatherers In the early ages of existence, human being were hunter gatherers: living in jungles, moving around in family, fighting against nature for survival, and reliance on hunting skills.

  - Green Revolution, Agricultural Societies, Merchant Entrepreneurs
  - Silk Road
  - Steam Engine Invention
  - Industrial Revolution
  - Technological Revolution

Entrepreneurship as a Discipline

- Entrepreneurship originated from the science of economics but it is multidisciplinary, developed in many subfields with several disciplines such as management/business administration, sociology, psychology, culture, marketing, finance, and geography.

- The term "entrepreneur" has been in use since 12th century when it first appeared in the French language where "*entre*" means between and "*prendre*" means to take. These words was originally used to describe people *who take on the risk between buyers and sellers* or who undertake a task such as starting a new venture.

"Entrepreneur is a person with foresight and confidence, operate in a condition where the cost maybe known but rewards are uncertain" Cantillon, Irish-French economist (17th century)

"There is a distinction between the entrepreneur and the capitalist, and between their profits" Jean-Baptiste Say, French economist and businessman (18th century)

"The entrepreneur is a person who is willing and able to convert a new idea or invention into a successful innovation" Joseph Schumpeter, an Austrian political economist from the (20th century) Schumpeter labelled entrepreneur creative destructor and directly linked it with innovation.

David C. McClelland, behaviorist from the 20th century described entrepreneurs on the basis of characteristics, attitudes, and skills.

Baumal categorized an entrepreneur as business organizer and also as an innovative person. (William Jack Baumal, an American economist from the 20th century)

Entrepreneurship Books

Peter Drucker, management scientist from the 20th century wrote a book **"Innovation and entrepreneurship: practice and principles"**.

Drucker also linked entrepreneurship with

- Innovation
- product innovation
- production method innovation
- new market development
- supply chain development
- new and better structure of organization.

Entrepreneurship and Business Incubation Centers

- Business Incubation Center A **business incubator/incubation center** is a place that helps startup companies to develop and grow by providing services such as management training, networking, mentoring and/or office space.

- Virtual University of Pakistan has successfully established an incubation center: **Student Startup Business Centre (SSBC)** with the collaboration of **Punjab Education Foundation (PEF)** and **HEC Pakistan**. You can find the details about SSBC at https://ssbc.vu.edu.pk/Default.aspx.

- The Indus Entrepreneur (TIE) https://tie.org/ was founded in 1992 in Silicon Valley, is an international platform for entrepreneurs to get benefited from its eminent incubation services .i.e.

- Global Entrepreneurship Monitor (GEM) https://www.gemconsortium.org/. GEM is able to provide high quality information, comprehensive reports and interesting stories, which greatly enhance the understanding of the entrepreneurial phenomenon.

- **Business Ecosystem:** An ecosystem refers to the social, economic, political, legal, technological, market, internationalization and related environment affecting the local/regional entrepreneurship.

- **Books to read** to understand entrepreneur, entrepreneurship and business ecosystem

- The Innovator's Dilemma" by Clayton Christensen
- The Lean Startup by Eric Ries
- Zero to One by Peter Thiel
- کامیاب لوگ by Dr. Amjad Saqib

Entrepreneurship…. more definitions

- Entrepreneurship is the capacity and willingness to develop, organize and manage a business venture along with any of its risks in order to make a profit. Entrepreneurial spirit is characterized by innovation and risk-taking and is an essential part of a nation's ability to succeed in an ever changing and increasingly competitive global marketplace. *(Businessdictionary.com)*

- Entrepreneurship is defined as a process by which individuals pursue opportunities without regard to resources they currently controlled. Entrepreneurship is an art of turning an idea into a business. *(Barringer and Ireland)*

- Entrepreneurship is a dynamic process of creating incremental wealth. The wealth is created by individuals who assume the major risk in terms of equity, time and commitment to provide value for some product or service. The product or service may or may not be new, but the entrepreneur must somehow infuse value by receiving and building the necessary skills and resources as a result receive the financial reward with personal satisfaction. *(Hisrich, Peters, and Shepherd)*

Entrepreneur…. more definitions

- Entrepreneurs is an individual who takes initiative to bundle resources in innovative ways and is willing to take risk to act. *(Hisrich, peters and shepherd)*

- Entrepreneur is the one who creates a new business in the face of uncertainty and risk for the purpose of achieving profit and growth by identifying significant opportunities and assembling the necessary resources to capitalize on them. *(Zimmerer and Scarborough)*

- Entrepreneur is someone who exercises initiative by organizing a venture to take benefit of an opportunity and, as the decision maker, decides what, how and how much of a good or service will be produced. *(Businessdictionary.com)*

Importance of Entrepreneurship for Economy

- Economy is the state of a country or region in terms of the production and consumption of goods and services and the supply of money.https://en.oxforddictionaries.com/definition/economy

- World Economic Forum (WEF) divides economies into three categories. https://www.weforum.org/

  - Factor-driven Economy: Economy is dominated by subsistence agriculture and extraction businesses, with a heavy reliance on (unskilled) labor and natural resources.

  - Efficiency-driven Economy: Economy becomes more competitive with more-efficient production processes and increased product quality.

  - Innovation-driven Economy in: Businesses are more knowledge-intensive, and the service sector expands

"Entrepreneurship is at the heart of national advantage" and it has a huge economic impact. This importance has been advocated by Michael E. Porter in his book "The Competitive Advantage of Nations".

Entrepreneurial Ecosystem - Global Entrepreneurship Index (GEI)

- Global Entrepreneurship and Development Institute (GEDI) is a research organization advancing knowledge on the relationship between entrepreneurship, economic development, and prosperity. https://thegedi.org/

- Global Entrepreneurship Index (GEI) is the flagship project of GEDI to study entrepreneurial ecosystems at national and regional level.

- 14 Pillars of an Entrepreneurial Ecosystem. (Country and regional ranking varies on yearly basis)

  - Opportunity Reception
  - Startup Skills
  - Risk Acceptance
  - Networking
  - Cultural Support
  - Opportunity Startup
  - Technology Adoption
  - Human Capital
  - Competition
  - Process Innovation
  - Product Innovation
  - High Growth
  - Internationalization
  - Risk Capital

Reasons to become an Entrepreneur

- Creativity doesn't fit the corporate environment.
- They want a lifestyle that isn't bound to nine to five
- Be their own boss
- They are active learners
- They want to pursue their own ideas
- Their ideas are unconventional and very innovative
- They assume that there are unlimited earning possibilities
- We can change the world
- Entrepreneurs are never retired from their work
- Entrepreneurs do not require degrees
- Entrepreneurship brings autonomy, freedom and responsibility
- Entrepreneurship brings a sense of achievement

Common myths about Entrepreneurs

- Entrepreneurs are born and they can not be made.
- Entrepreneurs are very high risk takers.
- Entrepreneurs are primarily motivated by money.
- Entrepreneurs are overwhelmed by their own ideas and do not listen to the advices.
- Entrepreneurs are high tech wizards
- Entrepreneurs love the spotlight
- Entrepreneurs are must be inventors because they are innovators
- You don’t need to earn degree if you want to be an entrepreneur
- If you don’t have money, you can’t be an entrepreneur
- Entrepreneurs are usually young, super genius and super energetic: kind of a hero

Potential benefits of being an Entrepreneur

- You are in charge of your own destiny.
- You can be an innovator.
- Entrepreneurship has no age limit.
- Full responsibility as a source of motivation.
- You become contributor to the society.
- Power to pivot.
- Experience the personal growth joy.
- You become an expert, a solution provider.
- Resilience, recovery and learning process.
- Financial and personal reward, become a role model.
- Schedule flexibility and freedom.
- Work with the people you like.
- The chance to share your learning.
- The legacy to next generation.

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Theme 02: Routes to Entrepreneurship: Buying an Existing Business

Videos 13-23

The potential drawbacks of being entrepreneurs

- Uncertain income
- Risk of losing your entire investment
- Long hours and hard work
- Lower quality of life until the business gets established
- High level of stress
- You can’t blame anyone
- Initially failure and discouragement
- Multitasking
- Family and social risk
- Sacrificing personal capital or debt burden
- Betting on a crucial deadline
- Market has its own trend and behavior

What is feeding your entrepreneurial fire? (source of motivation)

1. Economic shift in global environment

- Purchasing power
- Inflation or deflation
- Loan rates
- Price competition
- Industry growth rate
- Tax rebates
- Global ties

2. Demographic factors

- Minority entrepreneurs
- Young entrepreneurs
- Working couples (co-preneurs)
- Women entrepreneurs
- Urbanization
- Part time entrepreneurs
- Home based entrepreneurs

3. Entrepreneurial education

4. Incubation centers and supporting services

5. Shift to a service economy

6. Technological advancements

7. Self accomplishment and gratification

8. Personal reasons

9. E-commerce and World Wide Web

How to become an entrepreneur?

Most of the people think that there is only one way to become entrepreneur i.e. creating your own business

Join family business, Sole proprietors **(Inside-out approach, Outside-in approach)**

- Engineer
- Doctor
- Chemist
- Business student
- Professional

Multiple ways to become an entrepreneur are:

- Create a new venture
- Buying an existing business
- Family entrepreneurship
- Franchising

How to create a new venture?

Starting the business from scratch requires more time, more risk, more finance, and it also carries more uncertainty

Issues and challenges

- Role of incubation centers
- The role of networks
- Lack of market knowledge
- Lack of skilled labor
- Limited financial capability
- Product development

Stages of new venture creation

- Cultural and market awareness
- Information seeking
- Strong intention to start a business
- Idea for a product or a service
- Pre-start preparation
- Start-up challenges
- Growth and expansion
- Networking
- Trainings

Key Points to Consider

- Economic forces
- Exciting aspects of entrepreneurship
- Your business plan
- Resources difficult to obtain!
- Marketing research and information seeking
- Investors
- Product development
- Competitors
- Entrepreneurship myopia

How to buy a business?

Critical questions

- Relevant experience!
- Potential of business
- Market and target segment
- Price and payment methods
- Business liability
- Diversification justified
- Business sustainability
- Brand

Advantages

- Successful existing business
- Already have best location
- Employees and suppliers are already established
- Fixed expenses e.g. equipment's are already installed
- Productive quality is already known
- Inventory is already in place
- Use of experience of previous owner
- Save the time, energy and cost
- Customers and market are already developed

Disadvantages

- It's a loser!
- Faulty business model
- Unsatisfactory location
- Obsolete equipment
- Outdated inventory
- Bank corrupt
- Financial assessment (Faulty)
- Negative brand image
- Legal aspects!
- Employee turnover
- Partnership, partners problems!

Finding Out, Why the Business Is For Sale?

Owner's Reasons for Selling

- Old age or illness
- Desire to relocate in a different section of the country
- Decision to accept a position with another company
- Unprofitability of the business
- Loss of an exclusive sales franchise
- Maturing of the industry and lack of growth potential

Beware of sellers who may have **"cooked the books"** to make the business more attractive

Examining the Financial Data

Important Guidelines

- Review financial statements
- Reviewing returns for the past five years.
- Recognize that financial data can be misleading.
  - I. Assets overvalued
  - II. Expenses overstated/understated
  - III. Income underreported
  - IV. Unrecorded debts
- Adjust asset valuations to reflect the true state of the business.

Investigating and Evaluating Available Businesses

Important Advices

1. Due Diligence

The exercise of prudence, such as would be expected of a reasonable person, in the careful evaluation of a business opportunity.

2. Relying on Professionals

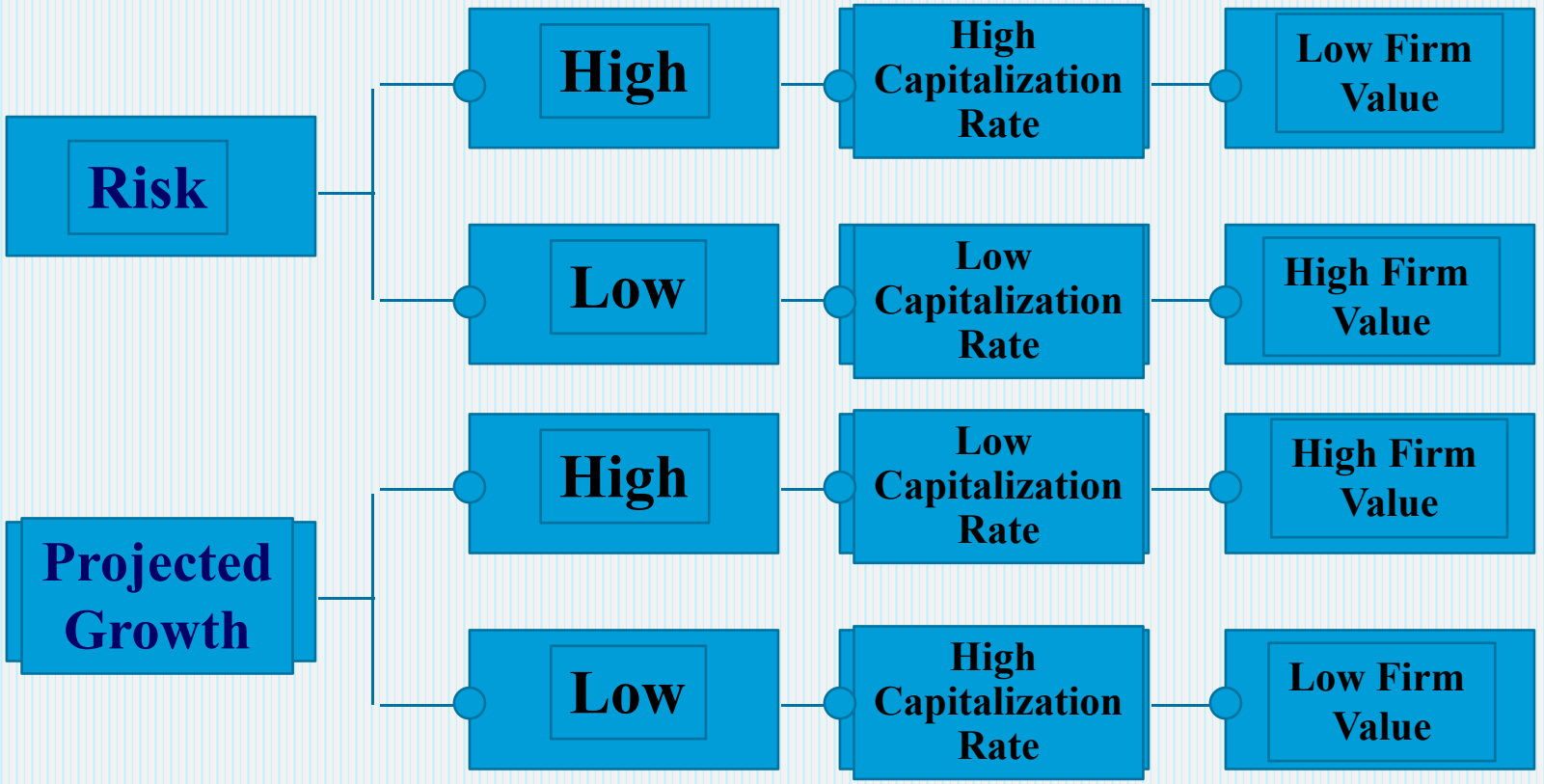
- Accountants
- Attorneys
- Other experienced business owners

Buying existing business: Evaluation Methods

Valuation of a Business

Asset-Based Valuation Approach	• Examines the value of business assets taken separately • Does not reflect the value of a going concern
Market-Based Valuation Approach	• Looks at similar businesses sold recently
Earnings-Based Valuation Approach	• Considers future earnings
Cash Flow-Based Valuation Approach	• Is based on future cash flows • Is the best theoretical method • Requires a more complex procedure

Determinants of a Firm's Capitalization Rate



Non-quantitative Factors to Consider in Valuing a Business

- Competition
- Market
- Future Community Developments
- Legal Commitments
- Union Contracts
- Buildings
- Product Prices

Negotiating and Closing the Deal

1. Terms of Purchase

- Assets purchase or total entity
- Indemnification clause
- Payment in full or partial payments over time

2. Closing the sale

- Best handled by a third party
- Bill of sale
- Tax certifications
- Payment-to-seller agreements and guarantees

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Theme 03: Routes to Entrepreneurship: Joining a Family Business

Videos 24-34

Family owned business

Definition

- Family ownership/control
- Consortium of families
- Managed by the family members
- Concern for family relationships
- Family succession

Characteristics for success

- Shared vision, values and goals
- A well-formulated strategic plan
- Well written procedures
- Expectations (family participation)
- Guidelines for succession
- Participation by outside advisors
- Family time and family union
- Professional management
- Proper governance structures
- Business first policy
- Future Diversification plan

Challenges

- Family rivalry
- Glass ceiling (female family members)
- Difficulty of multiple roles
  - Parent vs. Professional roles
  - Different management styles
  - Financial accountability
- Too much family involvement
- Succession delays
  - Fear of death
  - Reluctance to release control & power
  - Threat to personal identity
  - Bias against planning
  - Inability to chose among children
  - Fear of retirement
  - Jealousy and rivalry
- Boundaries among family, ownership, management systems may become blurred
- Easy come easy go
- Lack of interest in family business

What Is a Family Business?

Family Business: A company that two or more members of the same family own or operate together or in succession.

Competing Interests in a Family Business

Family Concerns

- Care and nurturing of family members
- Employment and advancement in the firm
- Loyalty to the family

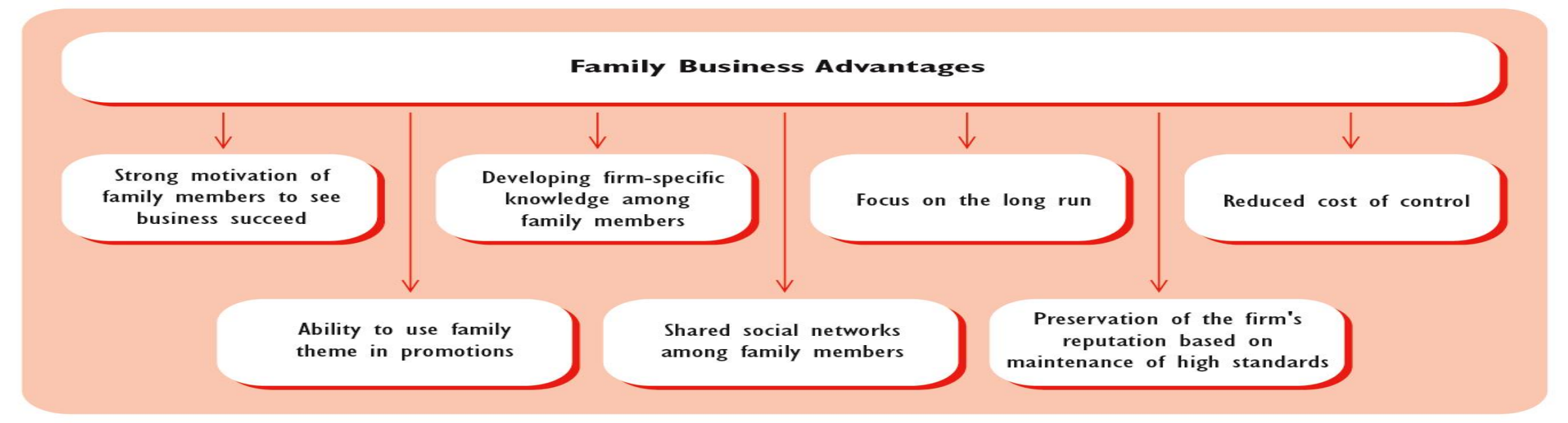
Business Concerns

- Production and distribution of goods and/or services
- Need for professional management
- Effective and efficient operation of the firm

Source: Adapted from Tim Barnett and Franz W. Kellermannas, "Are We Family and Are We Treated as Family? Nonfamily Employees' Perceptions of Justice in the Family Firm," *Entrepreneurship Theory and Practice,* Vol. 30, No. 6 (November, 2006), pp. 837–854.

Advantages of a Family Business

- Strength of family relationships during challenging periods of business change
- Financial sacrifices that family members make for the good of the firm
- Operation as a family business distinguishes the firm from its competitors
- Higher levels of concern for its community and non-family employees
- Capability to plan and prepare for the long run
- Emphasis on quality and value



Family Business Momentum

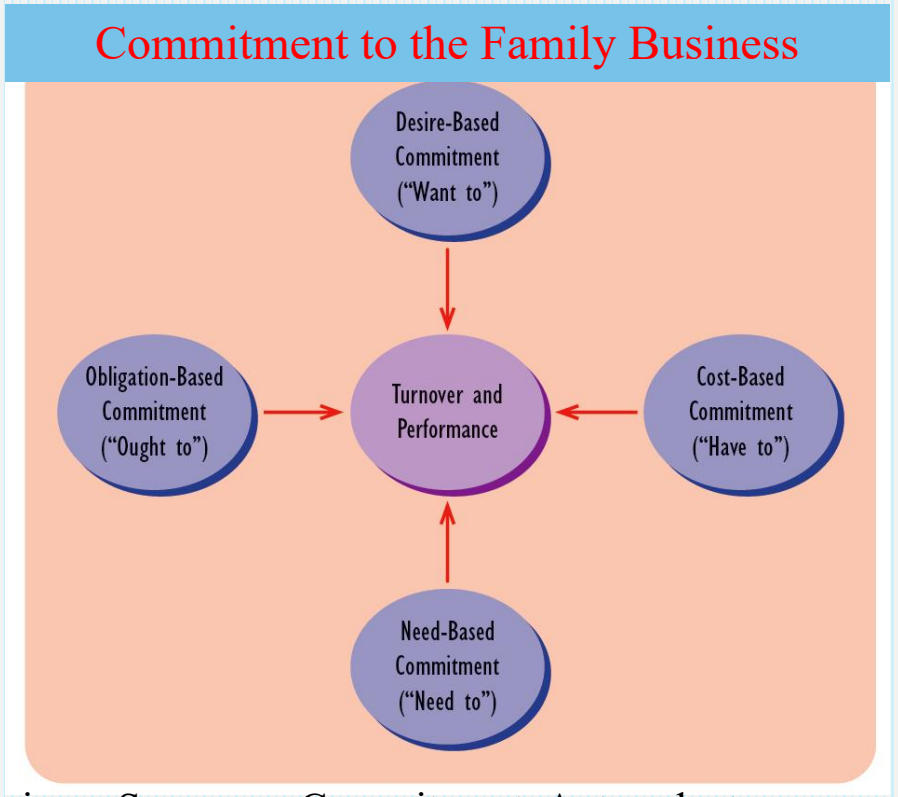
The Founder's Imprint on the Culture

The founder's core values become a transmitted part of the culture (for better or worse).

Organizational Culture

Patterns of behaviors and beliefs that characterize a particular firm.

- ❑ Family Business Cultural Values
- ❑ Mutual respect
- ❑ Integrity
- ❑ Wise use of resources
- ❑ Personal responsibility
- ❑ "Fun"



Source: Based on Pramodita Sharma and P. Gregory Irving, "Four Bases of Family Business Successor Commitment: Antecedents and Consequences," *Entrepreneurship Theory and Practice,* Vol. 29, No. 1 (January 2005), pp. 13–33.

Professional Management of the Family Firm

The Need for Good Management

- Stimulate new thinking and fresh strategic insights.
- Solicit outsiders' input to keep perspective.
- Attract and retain excellent managers.
- Create a flexible, creative organization
- Create and conserve capital
- Prepare successors for leadership
- Exploit unique advantages of family ownership.

Family Roles and Relationships

Parental Concerns in Passing the Business On!

- Does my child possess the temperament and ability necessary for business leadership?
- How can I, the founder, motivate my child to take an interest in the business?
- What type of education and expertise will be most helpful in preparing my child for leadership?
- What timetable should I follow in employing and promoting my child?
- How can I avoid favoritism in managing and developing my child?
- How can I prevent the business relationship from damaging or destroying the parent–child relationship?

Family Roles and Relationships

Husband–Wife Teams...

- Opportunity to share more in each other's lives
- Business differences interfere with family life
- Work doesn't leave time for family life
- Sharing family responsibilities eases the load

Sons and Daughters…

- Personal preferences different from the business
- Personal qualifications insufficient to assume role in business
- Desire for personal freedom to choose another career

Sibling Cooperation, Sibling Rivalry…

- **Best case:** siblings work as a team, each contributing services according to his or her abilities
- **Worst case:** siblings compete as rivals and disagree about their business roles.

In-laws In and Out of the Business…

- ❑ Disagreements about how to treat and reward in-laws and family members/children
- ❑ Assign to different branches or to different business roles

The Entrepreneur's Spouse: Communication between entrepreneur and spouse is critical for their performance as an effective team for both the business and the family.

Family Conflict Resolution

Family Retreats

A gathering of family members, usually at a remote location, to discuss family business matters.

Family Councils

An organized group of family members who gather periodically to discuss family-related business issues.

- Represent the family to board of directors
- Useful in developing family harmony
- Increases understanding of family traditions and interest

Family Business Constitution

A statement of principles intended to guide a family firm through times of crisis and change.

Professional Management of the Family Firm

Non-family Employees in a Family Firm

Hazards:

- Competition with family members for advancement
- politics of family competition within the firm
- Getting caught in the crossfire and

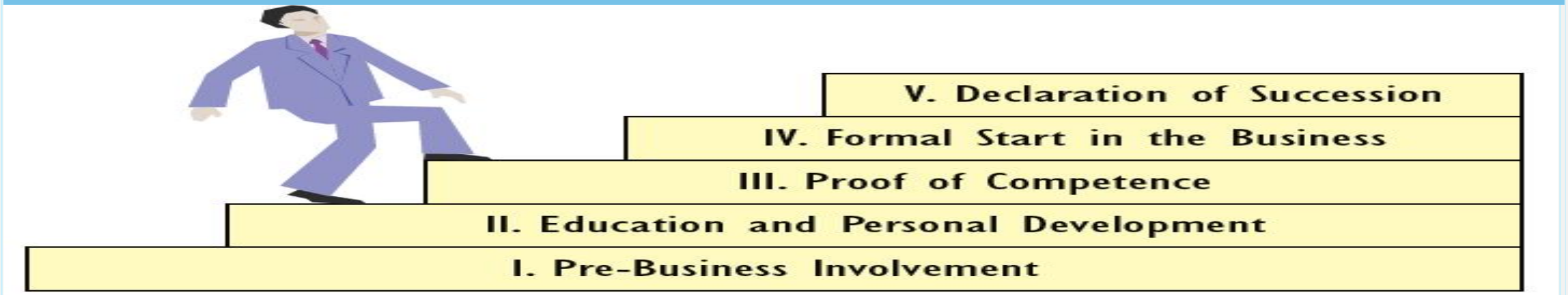
Solution:

- Identify family-only reserved positions in advance

Conditions Favoring Successful Leadership Succession in a Family Firm

- A sound, profitable business
- Stable, healthy family relationships
- Advance planning for leadership succession
- Positive family leadership and a team-oriented management structure
- Presentation of career opportunities without pressure
- **Available Family Talent**

Stages of Succession in a Family Business



Source: Adapted from Johan Lambrecht, "Multigenerational Transition in Family Businesses: A New Explanatory Model," *Family Business Review,* Vol. 18, No. 4 (2005), pp. 267–282.

Reluctant Parents and Ambitious Children

- Transfer/Types of Ownership
- Passing ownership of a family business to the next generation
  - ✓ Who will inherit the family firm? When?
  - ✓ should each heir receive an equal share?
  - ✓ Should ownership be transferred gradually?
  - ✓ How are tax considerations to be handled?
  - ✓ What to do with other wealth and assets of the founding entrepreneur?

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Theme 04: Routes to Entrepreneurship: Franchising

Videos 35-41

Franchising

Definition

A marketing system revolving around a two-party agreement, whereby the franchisee conducts business according to the terms specified by the franchisor.

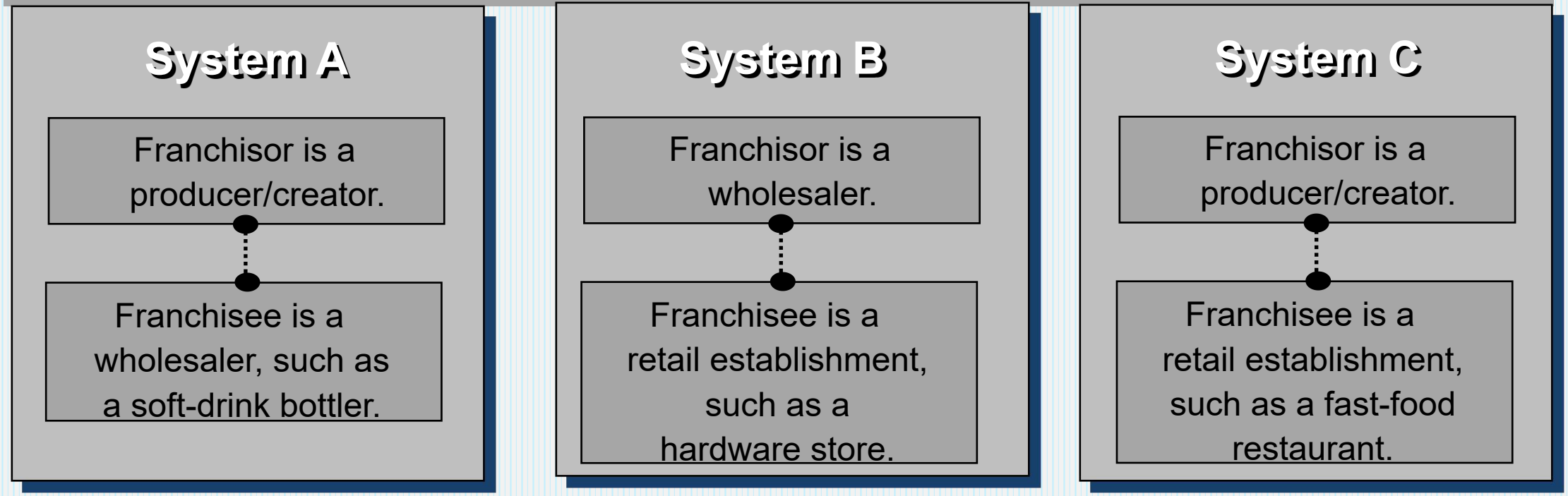
Franchisor

The party in the franchise contract that specifies the methods to be followed and the terms to be met by the other party.

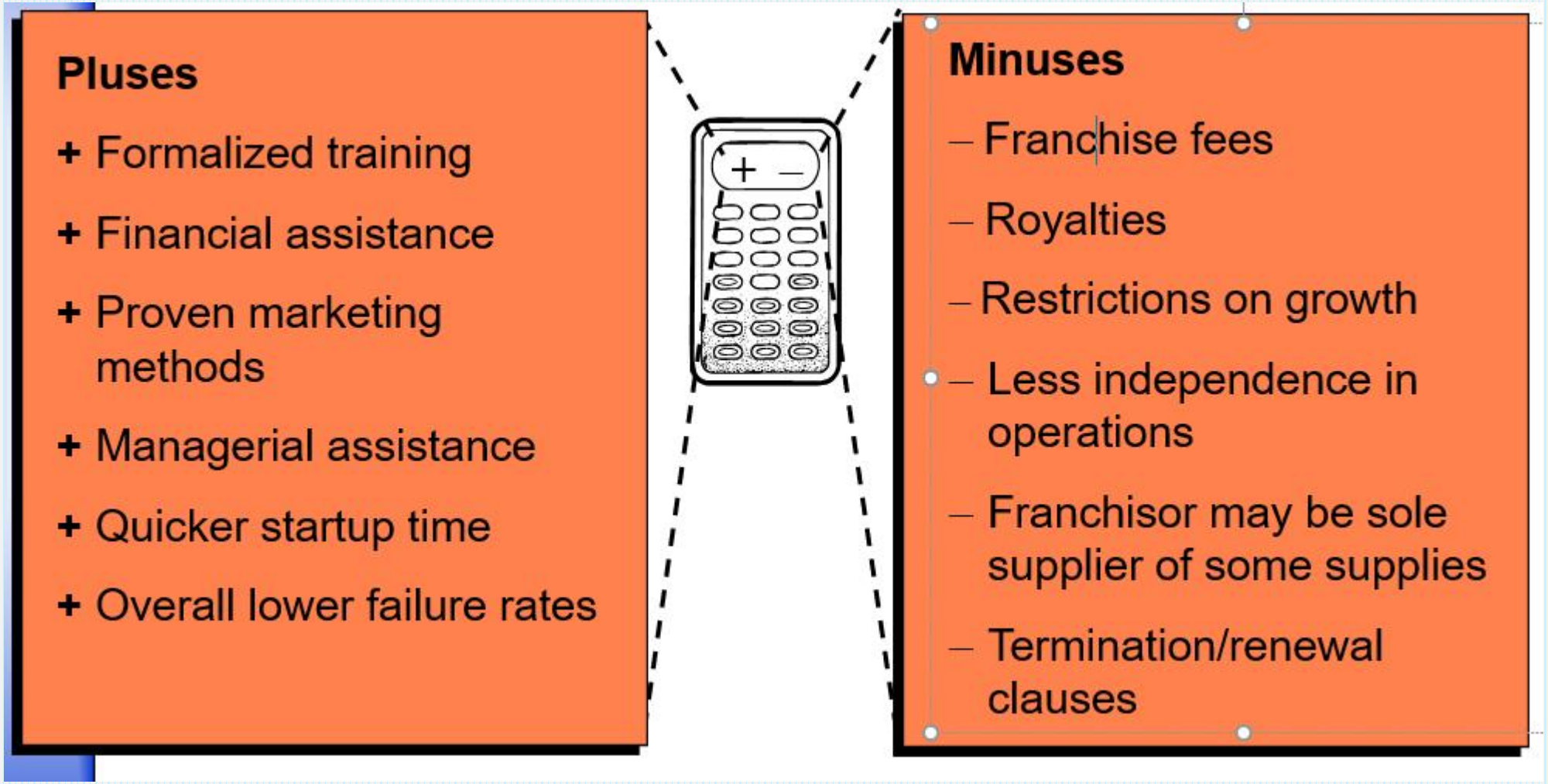
Franchisee

An entrepreneur whose power is limited by a contractual agreement with a franchisor.

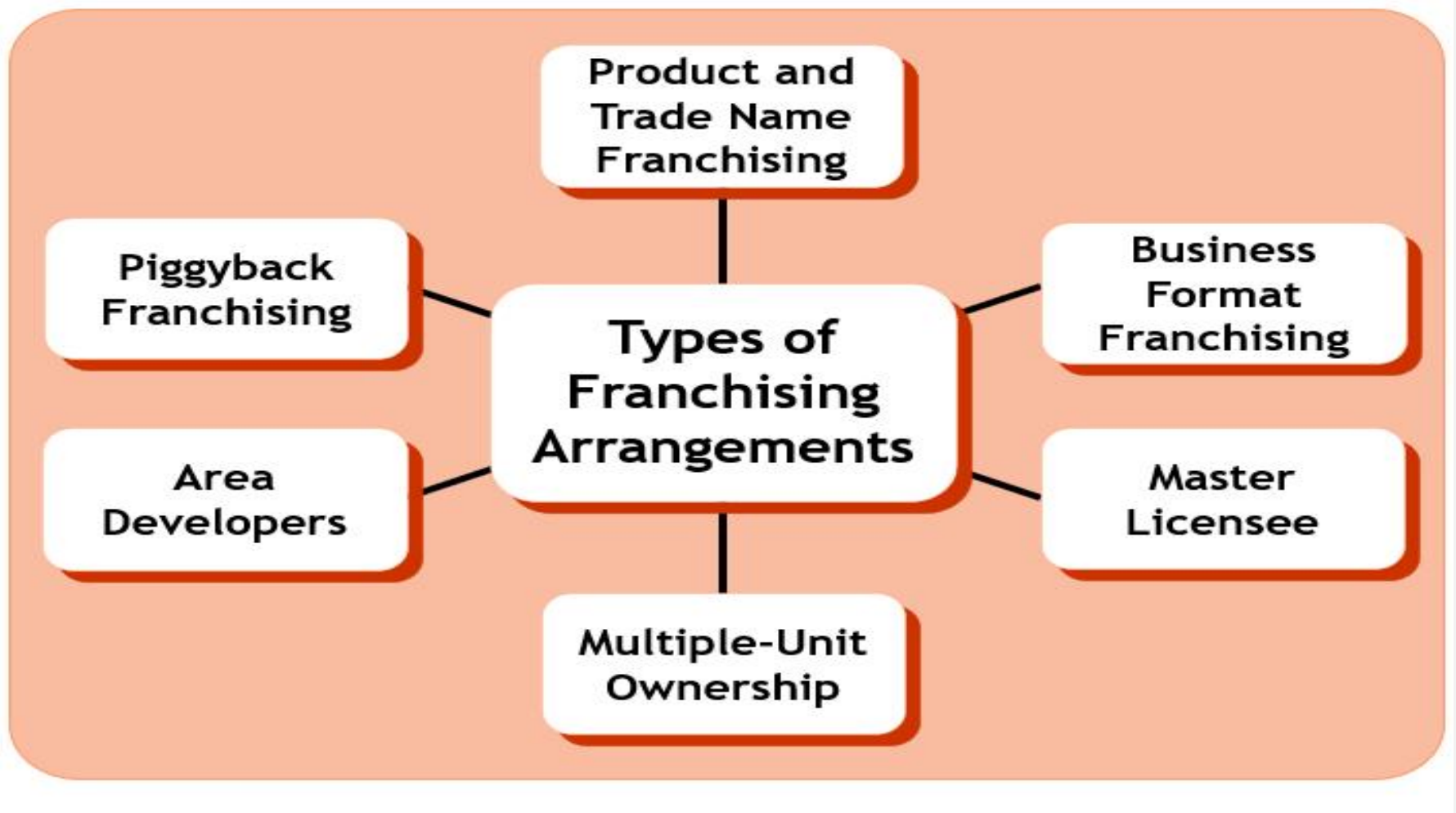
Alternative Franchising Systems



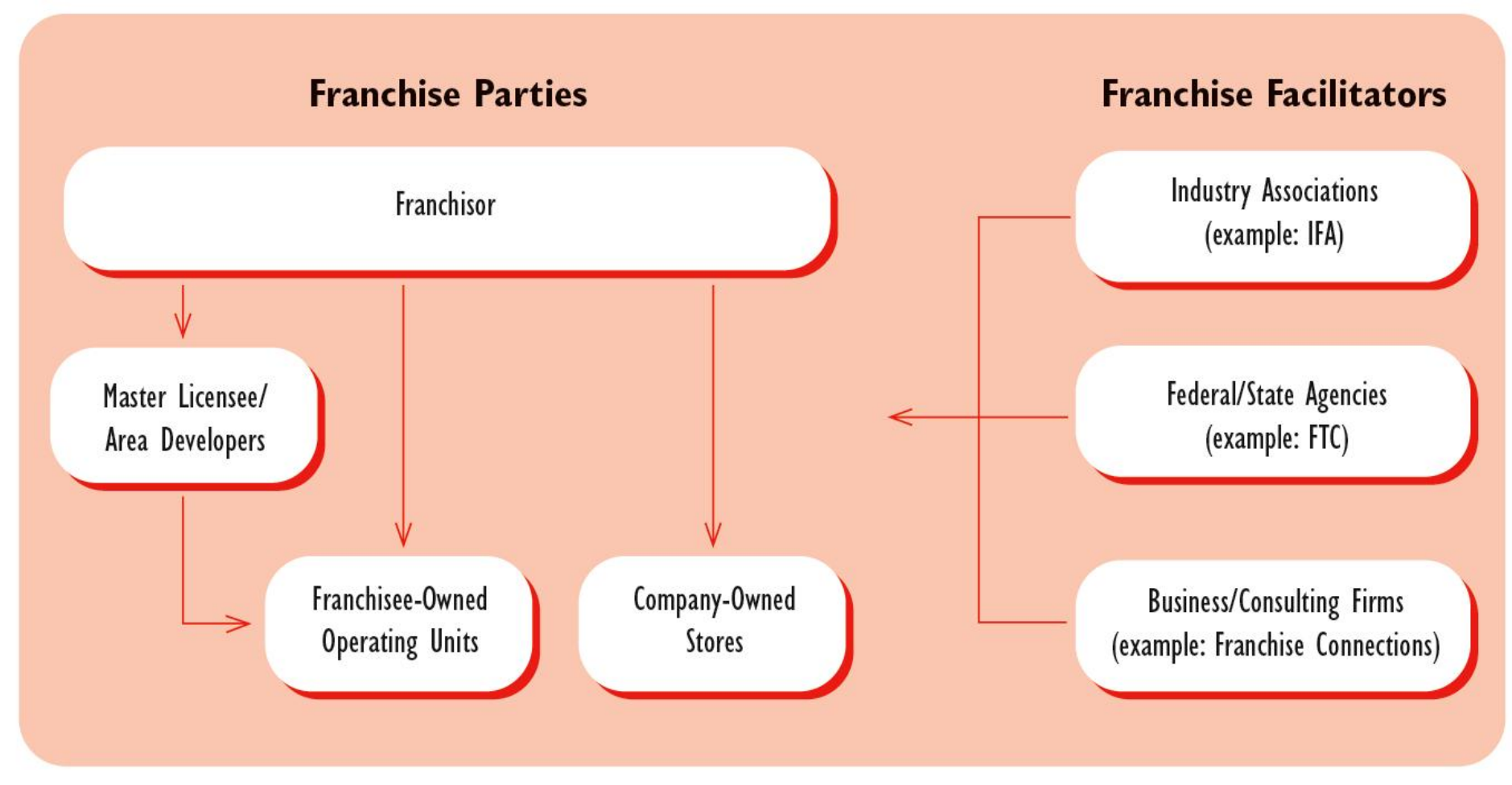
Pluses and Minuses of Franchising



Franchising Options



The Structure of Franchising



Typical Franchising Costs

- Initial Franchise Fee
- Cash Investments
- Royalty Payments
- Advertising Expenses

Typical Franchising Controls

- Restriction Sales Territory
- Approval of cite and facility's appearance
- Restrictions of goods and services to be sold
- Required operating hours and advertising

Evaluating Franchise Opportunities

- Selecting a Franchise Opportunity
  - Personal observation
  - Advertisements
    - Existing and previous franchisees

Investigating the Potential Franchise

- Information sources
  - Independent, third-party sources
    - Federal Trade Commission
    - Internet
    - Franchise consultants
    - Franchisors themselves
    - Disclosure documents

Key elements of Franchiser - Franchisee Relationship

- Responsiveness
- Empathy
- Communication
- Dependability
- Accessibility
- Give and Take
- Anticipation
- Structure
- Open Mindedness

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Theme 05: Routes to Entrepreneurship: Characteristics of Successful Entrepreneurs

Videos 42-55

Co-entrepreneurship

Coprenurship as enterprising couples/partners who work in and share ownership of, commitment to, and responsibility for their business.

How to become copreneurs?

- Co-founder
- Advisor
- Investor

Issues in Co-entrepreneurship

- Personality conflicts
- Risk taking behavior
- Personal life and commitments
- Team conflicts
- Shares of business and profits
- Scale up issues

Minority and Senior Entrepreneurs

Who are minorities ?

A group of people who experience relative disadvantage as compared to members of a dominant social group.
Minorities are based on **Gender, Ethnicity, Race, Religion, Linguistic, Disability**

Issues as minority entrepreneur

- Dealing with Discrimination
- Access to finance
- Additional Competition
- Misuse of emtions, language, and religion

Senior Entrepreneurs: The fastest growing group of new entrepreneurs - Becoming entrepreneurs at later age (after the age of 50 years), nearing in their retirement, and early retirement

Financial and non-financial motives for senior entrepreneurship

1. More knowledge and experience
2. Corporate downsizing
3. More personal fulfillment or self-actualization
4. Growing worries for additional income
5. Quality time and healthier life

Part-time and home based entrepreneurs

Approach 1: Full time entrepreneurs - Key Considerations

1. Financial risk
2. Over reliance on venture sustainability and income
3. More stress

Approach 2: Part-time entrepreneurs - Key Considerations

1. The role of financial motives and non-financial motives
2. Social pressure
3. You might burn out
4. Main occupation might suffer
5. Over commitment
6. Risk and time management

Home-based entrepreneurship - Key Considerations

1. Scale-up issues
2. Financing
3. Work-life balance

Social entrepreneurs

What is a social entrepreneur?

A social entrepreneur is a person who pursues novel applications that have the potential to solve community-based problems. - Doing business for a social cause.

Exampls of social entrepreneurship/entrepreneurs

- NGOs (Non-Governmental Organization) model is based on funding/donations only
- Microfinance Institutions (MFIs)

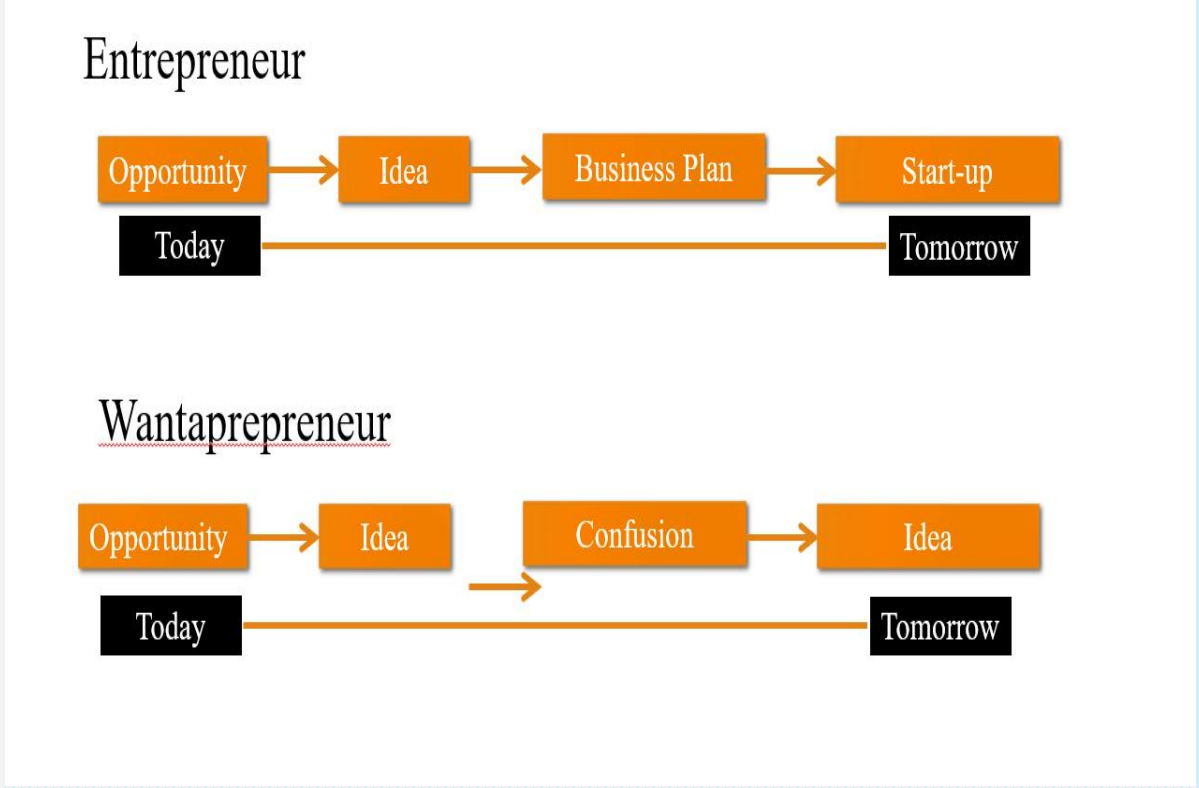
Challenge of social enterprises

1. Financial self-sufficiency
2. Operational self-sufficiency
3. Business Sustainability

Who are Wantrepreneurs?

Wantrepreneurs - Key Considerations

1. Waiting for perfect conditions
2. Aiming too high especially for money
3. Too big plans
4. Conflused
5. Following the passion of others
6. Too much worried about capital and personal image
7. Not willing to sacrifice
8. Keep complaining about failures
9. Do not take responsibilities of your actions
10. Easily get discouraged
11. Risk-averse
2. Day dreaming



Pitfalls - Entrepreneurial advice

Pitfalls

1. Lack of managerial skills
2. Lack of experience
3. Poor financial control
4. Weak marketing efforts
5. Failure to develop a strategic plan
6. Uncontrolled growth
7. Poor location
8. Improper inventory control
9. Incorrect pricing
10. Inability to make entrepreneurial transition

How to avoid Pitfalls?

1. Self-awareness
2. Know your business in depth
3. Develop a solid business plan
4. Manage financial resources
5. Understand financial statement
6. Learn to manage people efficiently
7. Keep in tune with yourself
8. Marketing research and intelligence
9. Networking
10. Expert advice

Successful entrepreneurs

Characteristics of successful entrepreneurs

- Passion for business
- Tenacity despite failure
- Execution Intelligence
- Disciplined
- Self starter
- Strong work ethic
- Open minded
- Self-assurance
- Empathy
- Vision
- Self-investment
- Optimistic
- Creative

Some Key skills of successful entrepreneurs

- Goal setting
- Information seeking
- Opportunity seeking
- Learning
- Persistence
- Planning & Monitoring
- Financial intelligence
- Market intelligence
- Persuasion & Influence
- Quality Assurance
- Efficiency
- Reading financial statements
- Marketing and sales
- Communication skills
- Networking
- Digital Marketing

Entrepreneurship MGT602

Theme 06: The entrepreneurial process

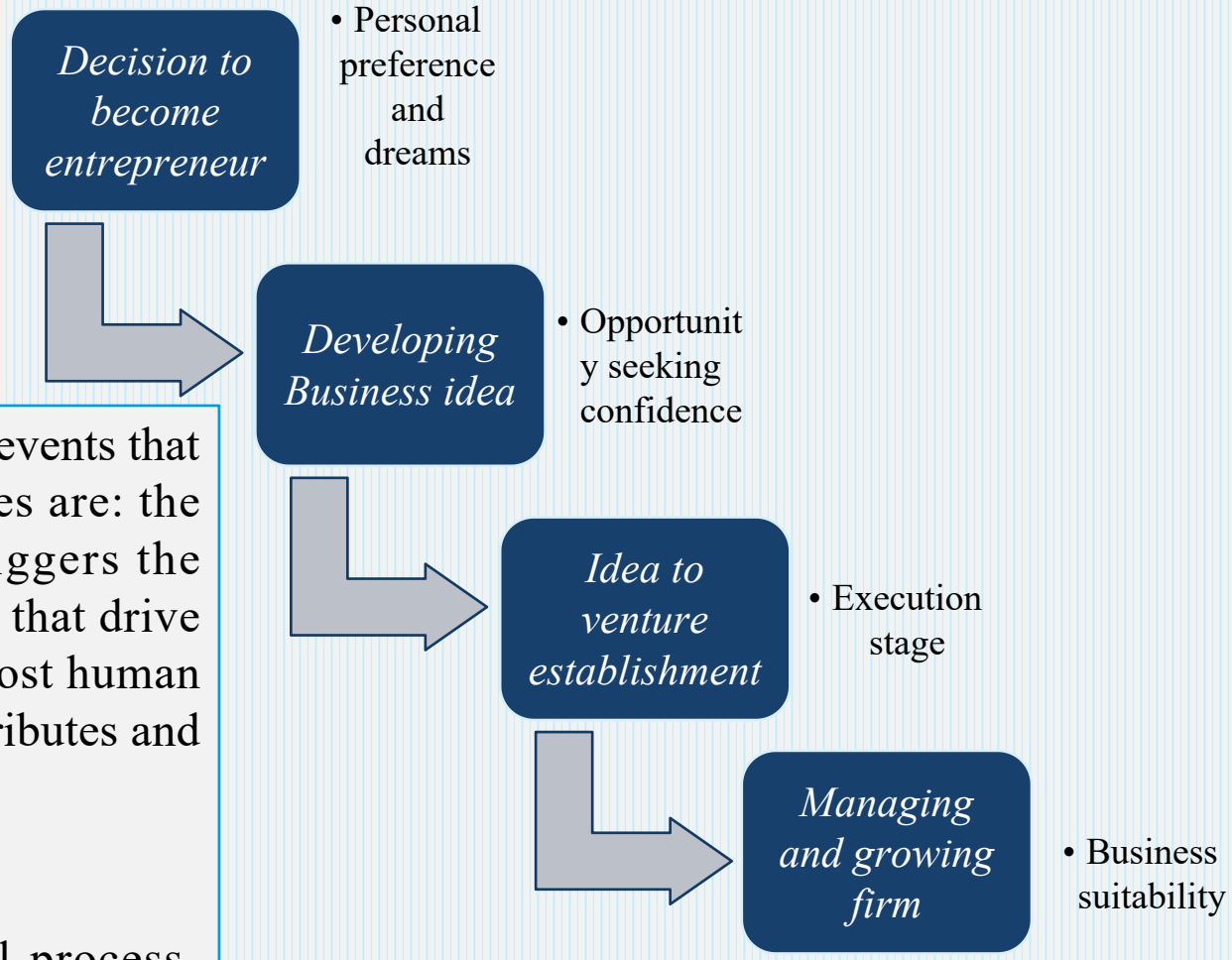
Videos 56-69

Entrepreneurial process

The **entrepreneurial process** includes all the functions, activities, and actions that are part of perceiving opportunities and creating organizations to pursue them.

It is a long-term process and requires:

- ✓ Hard and smart work
- ✓ Personal commitment
- ✓ Consistency and persistence



Also, The Entrepreneurial Process is a set of stages and events that follow one another. These entrepreneurial process stages are: the idea or conception of the business, the event that triggers the operations, implementation and growth. A critical factor that drive the development of the business at each stage as with most human behavior, entrepreneurial traits are shaped by personal attributes and environment.

William Bygrave
Source: https://www.barrazacarlos.com/entrepreneurial-process-stages/

The Entrepreneurial Traits

- Knowledge and inspiration
- Dream, Desires, Inventiveness
- Determination,Trial & Error, Productivity and efficiency
- Leadership, Networking

The Entrepreneurial Process

- Idea
- Venture Development
- Productiona and Operations
- Sustainability and Growth

Group Discussions

Group Discussion 1: Academicians and Practitioners View (part 1): Are entrepreneurs born or made?

Group Discussion 1: Academicians and Practitioners View (part 2): Are entrepreneurs born or made?

Group Discussion 2: Family Entrepreneurs (Part 1): How they started and what challenges they face?

Group Discussion 2: Women (Part 2): How they started and what challenges they face?

Business opportunity

What is a business opportunity ?

An opportunity is a favorable set of circumstances that creates a need for a new product, service, or business.

A business opportunity represents a possibility for the entrepreneurs to successfully fill a large enough unsatisfied need that results in enough sales and profits.

- ✓ **A misperception about opportunity is that it must be unique.**
- ✓ **Opportunity can be externally stimulated.**
- ✓ **Opportunity can be internally stimulated.**

- ✓ Entrepreneur recognize a problem or an opportunity gap and creates a business to fill it.
- ✓ Picking a currently available product or service and trying to build a business around a slightly better of it.

Source: barringer and Ireland

Qualities of good opportunity

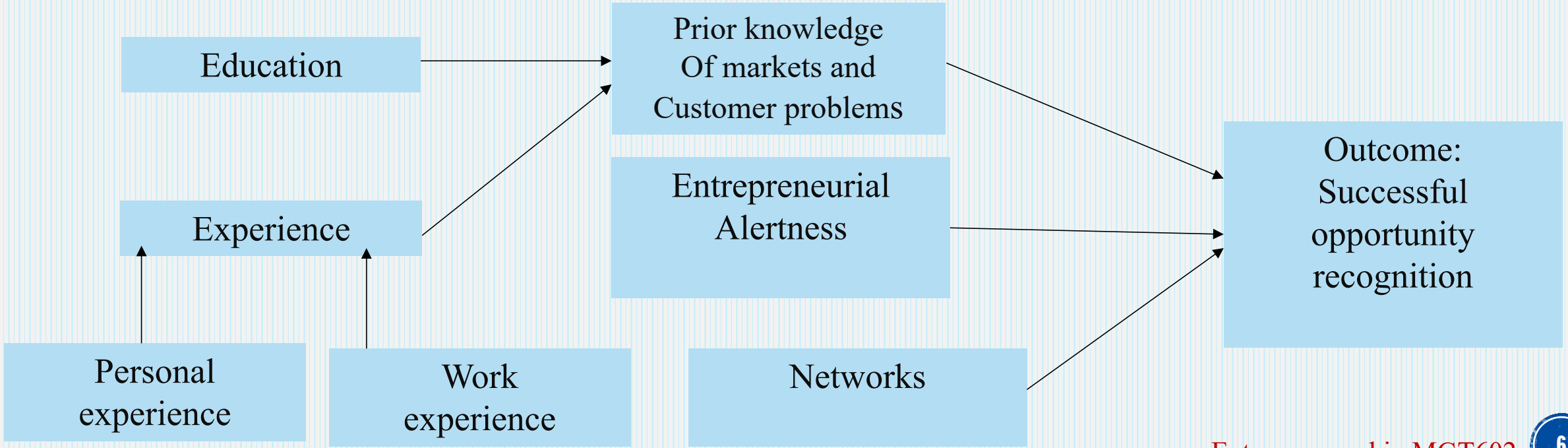
- Timely
- Attractive
- Durable
- Product or service that adds value for buyer or end-user
- Window of opportunity

Difference between idea and opportunity

Idea is a thought, an impression, or a notion. It may or may not meet the criteria of an opportunity.

Opportunity must possesses all four qualities i.e. attractive, durable, timely and value laden.

Model of the opportunity recognition process



Three major ways of identifying an opportunity

1- Observing trends

Observing trends

- Green trend
- Clean energy trend and global warming
- Organic orientation trend
- Fitness and health trend
- Social networking trend
- Traveling and adventure
- Bloggers, vloggers and virtual communicates

2- Solving a problem

Demographic and Social Forces

- Aging
- Working couples
- Single parents
- Region and ethnic groups
- The diversity of workforce

3- Finding a gap in market place

Economic and Technological Forces

- Command Economy
- Market Economy
- Mixed Economy
- Big Data
- Cloud Computing
- Atificial Intelligence
- Augmented Reality
- Machine Learning

What is Social Innovation?

World Economic Forum defines social innovation as “the application of innovative, practical, sustainable, market-based approaches to benefit society in general, and low-income or underserved populations in particular”.

Source: http://reports.weforum.org/social-innovation/why-social-innovation-matters-to-business/?doing_wp_cron=1566296386.4123868942260742187500

Who are the Social Entrepreneurs?

Social entrepreneurs are individuals who recognize a social problem and use their entrepreneurial skills to create a program, business or process to find a solution.

Source: https://www.investopedia.com/terms/s/social-entrepreneur.asp

Gap in the Market Idea

- ✓ It is something new and original.
- ✓ It improves on something that already exists.
- ✓ It takes something that exists and finds it a new market.

- ✓ **Industry Analysis**
- ✓ **Market Research**
- ✓ **Market Intelligence**

Brainstorming

Brainstorming is a method for generating ideas to solve a problem in a group. It is usually conducted in a group with a moderator or facilitator. It allows participants to be stimulated to greater activity by meeting in an organized group experience.

- ✓ No criticism or no negative comments in the beginning
- ✓ All types of wild ideas are welcome
- ✓ Quantity of ideas is desired
- ✓ Think out of the box
- ✓ Combination of ideas brings improvement and may produce new ideas

Brainwriting: Writing all ideas on a paper or cards and circulating among participants.

Problem Inventory Analysis: List of product, market or service related problems is provided to participants

Mind Mapping: A mind map is a graphical representation for organizing information. Mid mapping process starts with writing a central idea and coming up with new and associated ideas that branch out from the central idea.

Visualizing, Structuring, and idea classification are the main features of mind mapping.

Techniques of idea generation

- Habit of reading
- Most underutilized resource
- Sources of Information
  - Industry specific magazines
  - Trade journals
  - Industry reports
  - Databases
  - Market Research Reports
- Internet
- Incubation Centers
- Friends and Family
- Expert Opinion

What is intuition ?

The ability to understand something instinctively, without the need for conscious reasoning.

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Theme 07: Entrepreneurship and Creativity

Videos 70-86

Innovation

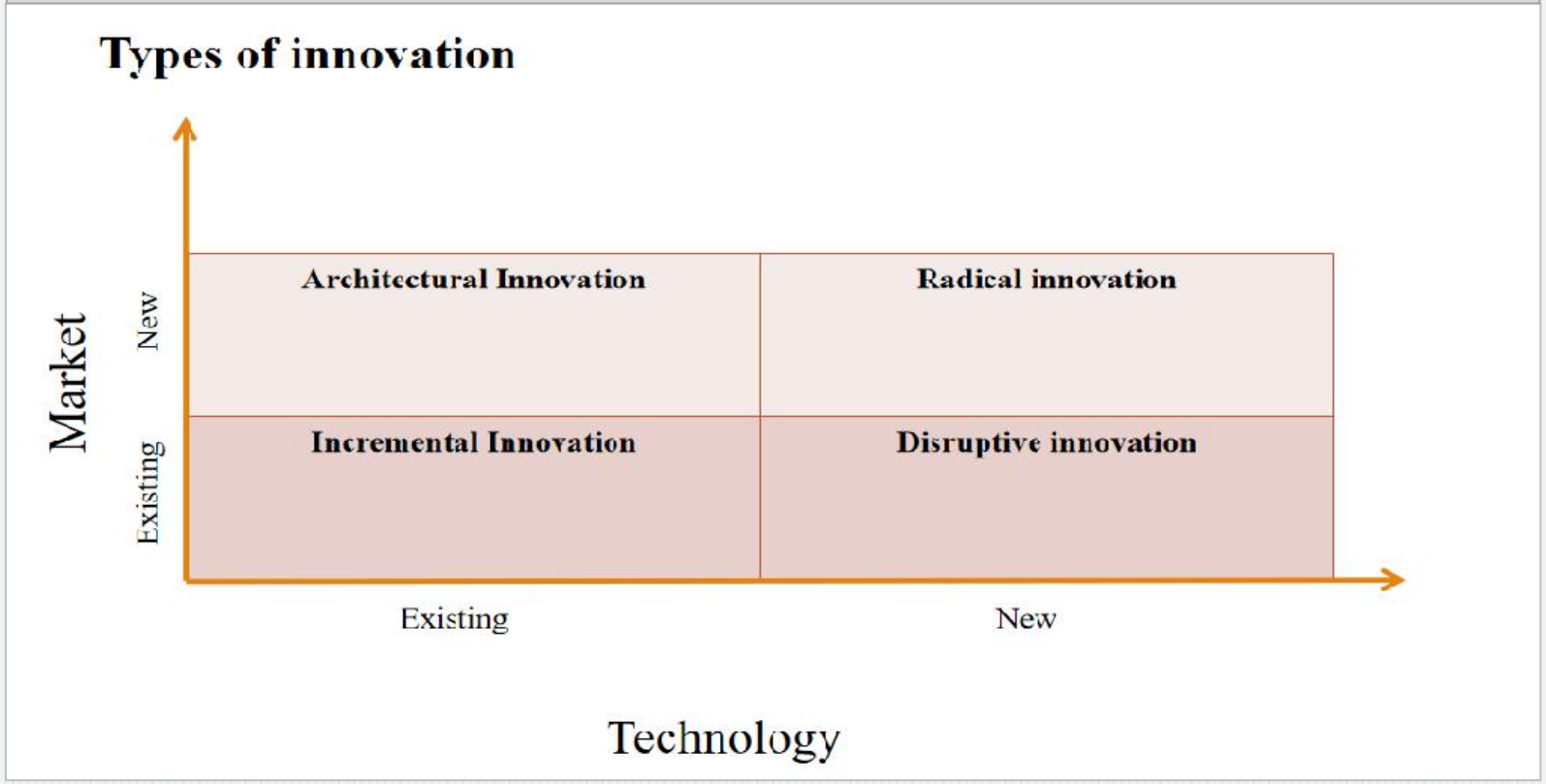
The process of translating an idea or invention into a good or service that creates value for which customer will pay.

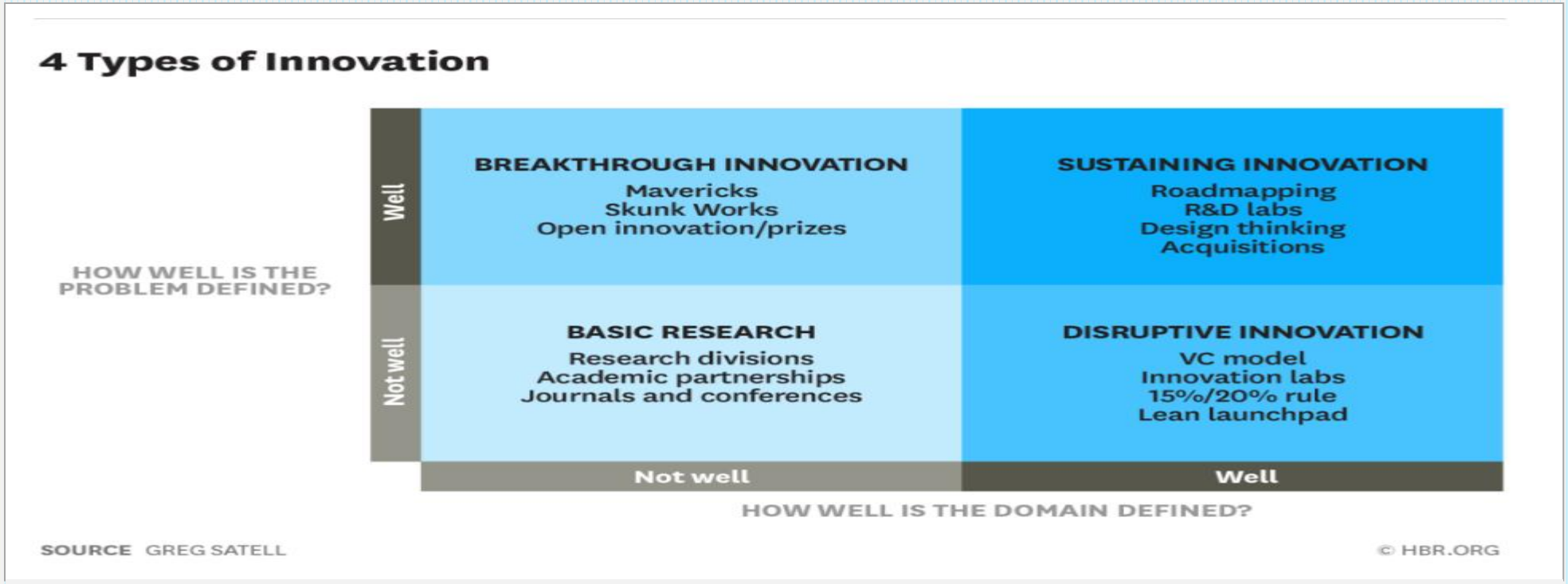
Making a product or service better, faster, cheaper, greater satisfaction with greater value proposition.

2 critical components of Innovation

- Invention
- Commercialization

Types of Innovation





Source: https://hbr.org/2017/06/the-4-types-of-innovation-and-the-problems-they-solve

Product innovation deals with the products and intangible services such as services that meet customer needs.

Business model innovation encompasses innovations in strategy, marketing, supply chains, value creation, pricing - cost structures.

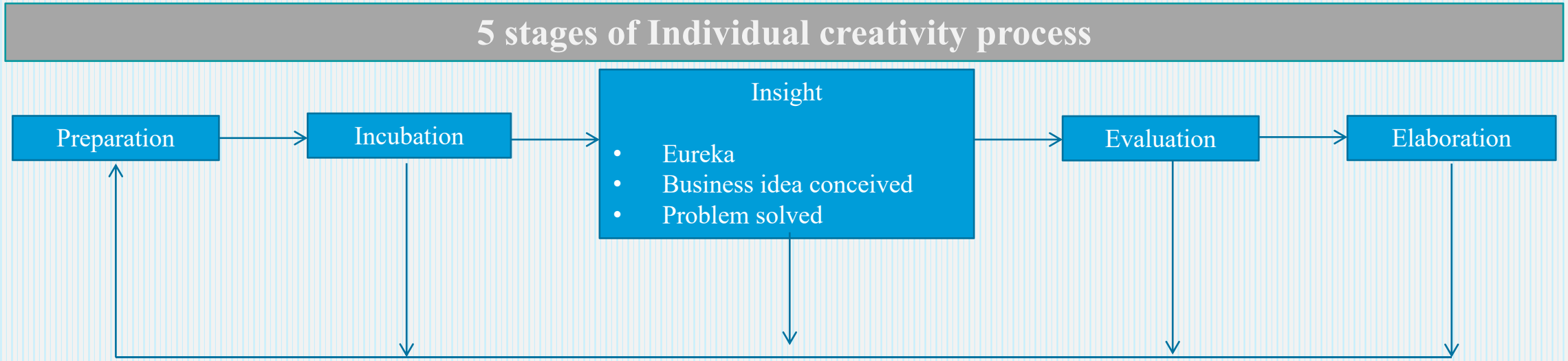
Process and technology innovation makes the process efficient or cost effective.

Market pull innovation originates from the market and are initiated by a specific customer request.

Technology-push innovation is the result of new technologies for which suitable application possibilities are sought and implemented

Creativity

Mental characteristics that allows a person to think outside of the box, which results in innovative or different approaches to particular task. (Use of imagination, Ability to produce/use original and novel ideas)



1. **Preparation**: background, experience and knowledge that an entrepreneurs brings to the opportunity recognition process.
2. **Incubation**: work on an idea while solving a problem.
3. **Insight**: when the idea is completely born and refined. ***Eureka experience:** joy/satisfaction after finding something new.
4. **Evaluation**: when idea is subjected to scrutiny and analyzed for its viability.
5. **Elaboration**: when idea is transformed into new product or service development.

Business opportunity

Personal barriers

1. Personality and behavior
2. Social pressure
3. Lack of passion
4. Lack of direction
5. Fear of failure
6. Making prior assumptions

Cultural barriers

1. Lack of training
2. Misguiding instruction
3. Lack of motivation
4. Lack of basic ability
5. Access to resources

The Feasibility Barriers

1. Blur ideas
2. Financial feasibility
3. Business model feasibility

The Knowledge and experience barrier

1. Lack of prior knowledge
2. Lack of prior experiences
3. Lack of access to information
4. Lack of basic ability

The Regulatory and procedural barriersbarrier

1. Law and policies
2. Registration process
3. Access to raw material
4. Governmental policy
5. Access to resources

The link between Creativity, innovation, opportunity and entrepreneurship

Know Yourself

1. Your passion
2. Your personality
3. Knowledge
4. Experience
5. Observation
6. Network

Know Your Role

1. Propmoter
2. Opponent



Figure 1: Typology of individual innovation response behaviour

	IDEA GENERATION			CONVERSION		DIFFUSION
	IN-HOUSE Creation within a unit	CROSS-POLLINATION Collaboration across units	EXTERNAL Collaboration with parties outside the firm	SELECTION Screening and initial funding	DEVELOPMENT Movement from idea to first result	SPREAD Dissemination across the organization
KEY QUESTIONS	Do people in our unit create good ideas on their own?	Do we create good ideas by working across the company?	Do we source enough good ideas from outside the firm?	Are we good at screening and funding new ideas?	Are we good at turning ideas into viable products, businesses, and best practices?	Are we good at diffusing developed ideas across the company?
KEY PERFORMANCE INDICATORS	Number of high-quality ideas generated within a unit.	Number of high-quality ideas generated across units.	Number of high-quality ideas generated from outside the firm.	Percentage of all ideas generated that end up being selected and funded.	Percentage of funded ideas that lead to revenues; number of months to first sale.	Percentage of penetration in desired markets, channels, customer groups; number of months to full diffusion.

The innovation value chain: **Source:** Morten T. Hansen and Julian Birkinshaw **Harvard Business Review**

Group Discussions

Group Discussion 1: Protecting your business idea: what is Intellectual property (IP) and what is intellectual

Group Discussion 2: Protecting your business idea (Patent, Trademarks, and Copyrights etc.)

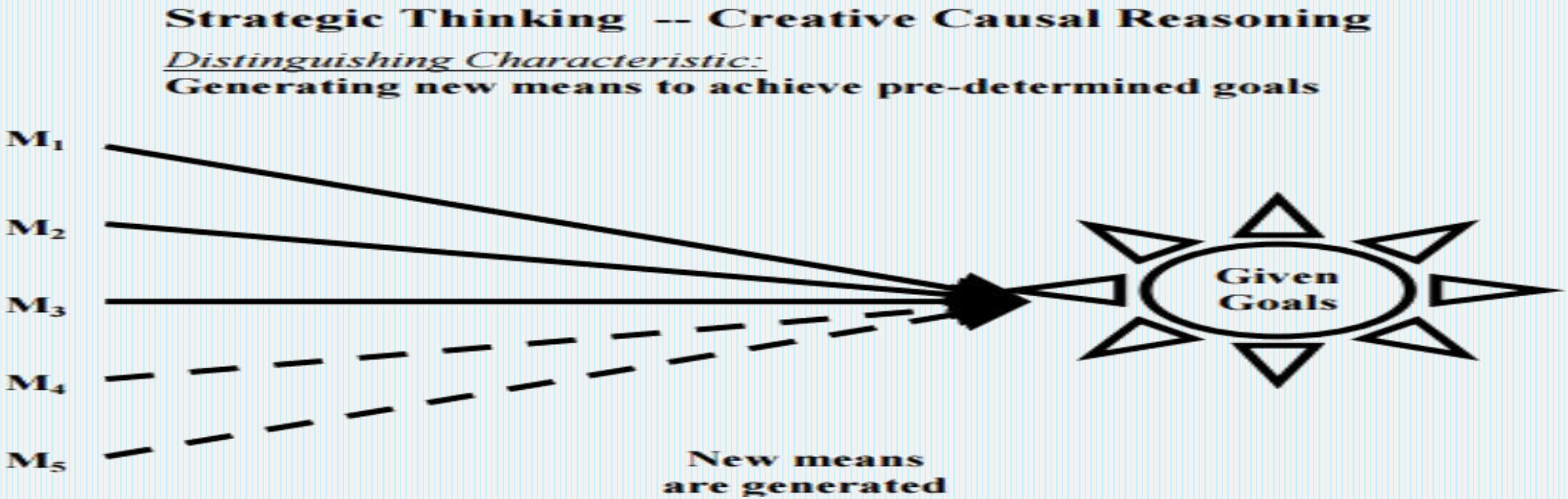
Group Discussion 3: The interview with an entrepreneur: How to open third eye for opportunity hunting?

What makes entrepreneurs entrepreneurial? OR How do entrepreneurs become entrepreneurs?

2 Approaches: Causal Reasoning AND Effecual Reasoning (Saras D. Sarasvathy)

Causal reasoning begins with a pre-determined goal and a given set of means, and seeks to identify the optimal, fastest, cheapest, most efficient, alternative to achieve the given goal.

- Causal thinkers are like **great generals** seeking to conquer fertile lands (Genghis Khan conquering two thirds of the known world)
- **Other Examples are** Make-vs-buy decision in production, Choosing the target market with the highest potential return in marketing, Picking a portfolio with the lowest risk in finance, Hiring the best person for the job in human resources management



What makes entrepreneurs entrepreneurial? OR How do entrepreneurs become entrepreneurs?

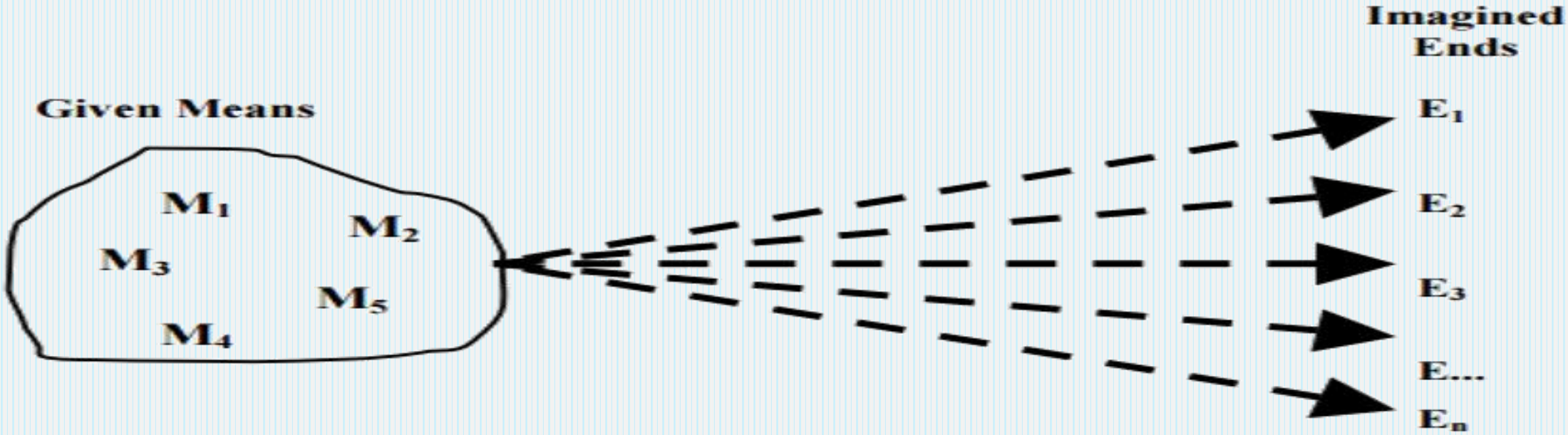
Effectual reasoning, however, does not begin with a specific goal. Instead, it begins with a given set of means and allows goals to emerge contingently over time from the varied imagination and diverse aspirations of the founders and the people they interact with.

- Effectual thinkers are like **explorers** setting out on voyages into uncharted waters (Columbus discovering the new world).

Entrepreneurial Thinking -- Effectual Reasoning

Distinguishing Characteristic:

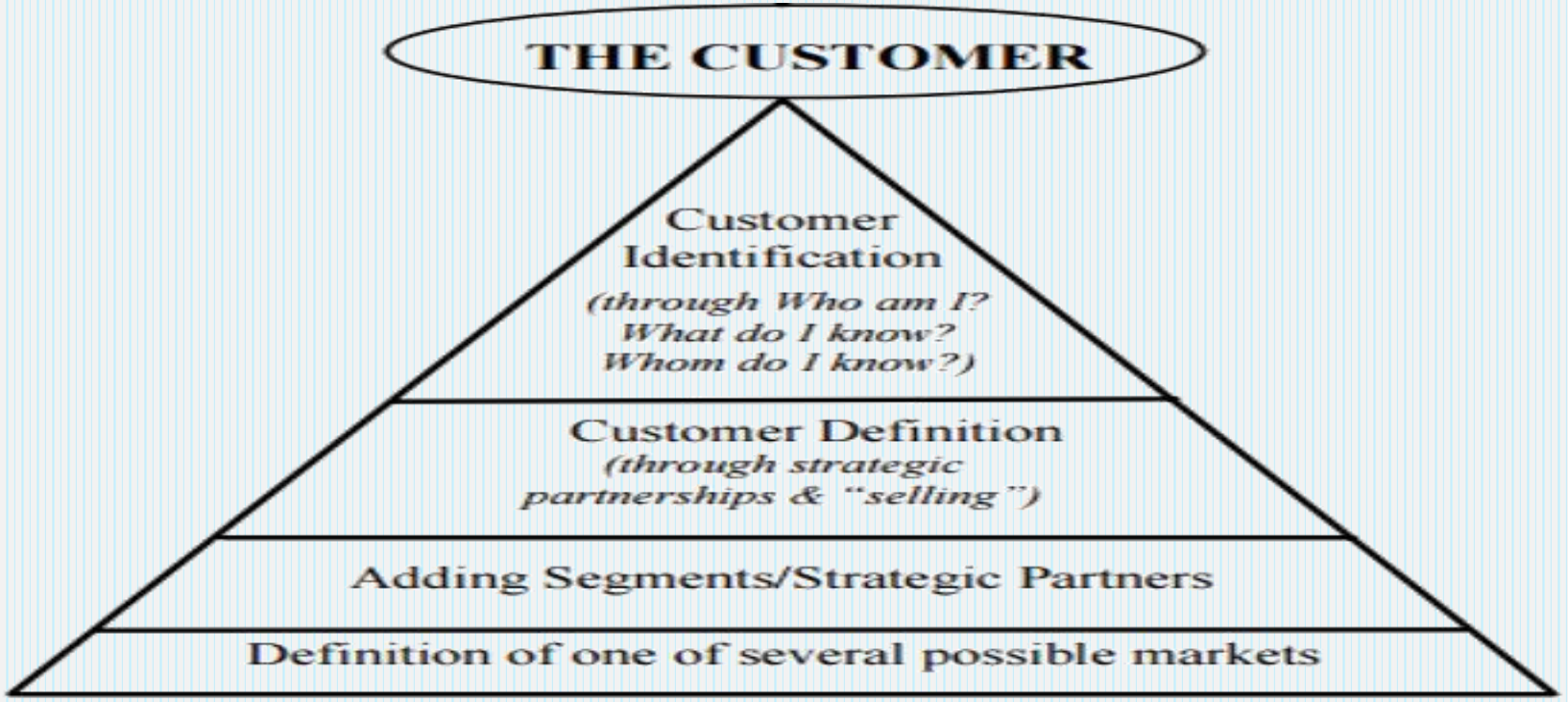
Imagining possible new ends using a given set of means



Effectuation Reasoning: The Process

All entrepreneurs begin with three categories of means:

(1) Who they are? – their traits, tastes and abilities;
(2) What they know? – their education, training, expertise, and experience; and,
(3) Whom they know? – their social and professional networks.



Process of Effectuation Used by Expert Entrepreneurs

EEffectuation: 5 Principles

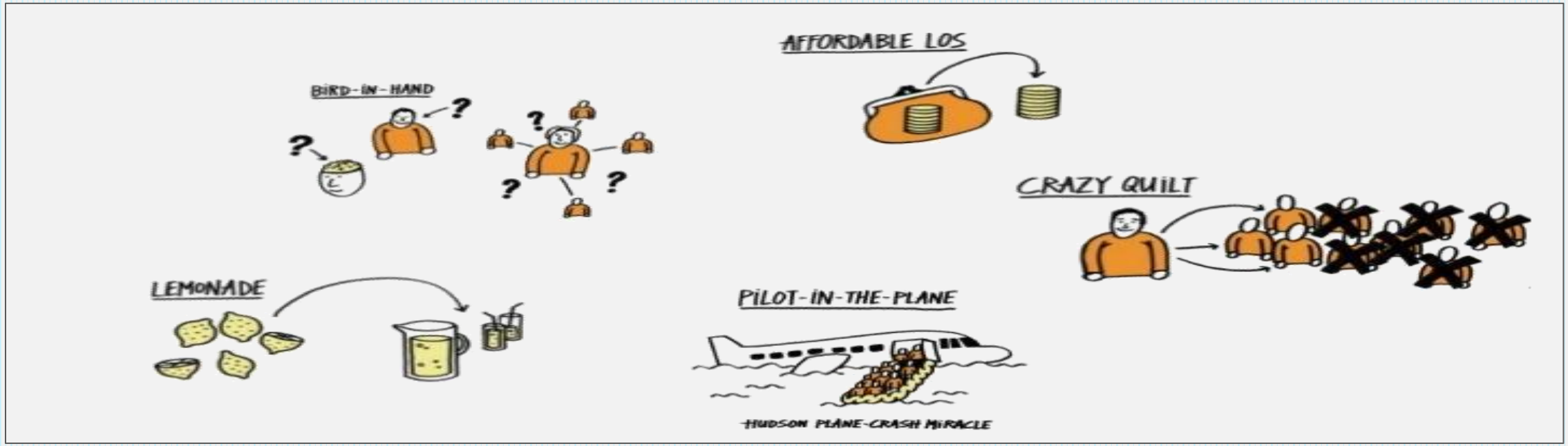
1.Bird in hand principle: Create solutions to the problem with the means/resources available at the moment.

2.Lemonade principle: Surprises and mistakes are unavoidable. An entrepreneur should use the mistakes and surprises to find new opportunities.

3.Crazy quilt principle: Focus on co-creation and partnership instead of competition. It can bring new directions and funds for your project.

4.Affordable loss principle: You should see how to cover the negative side. The best approach is to invest only the amount which you can afford to lose.

5.Pilot-in-the-plane principle: You are yourself responsible for everything. Your future can be influenced by your own actions.)



Workshop Activity

Take pen and paper and write down your resources.

1. Who are you ?
2. What have you acquired so far ?
3. What are your skills ?
4. What is your network including your family, friends, colleagues etc.
5. What is your financial strength ?

✓ Generate the business idea with your available resources
✓ Which is more suitable and viable business idea ?

The interview with an entrepreneur: How entrepreneurs can use their available resources for quick start?